

Riverside Christian Academy

5-Year Financial Model

Prepared May 14, 2026

Built from actuals

Ready to share — keep polishing the narrative.

This model demonstrates strong financial fundamentals: a clear path to net income, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

Packet Contents

1. Executive Summary
2. School Overview
3. Enrollment Plan
4. Revenue Model
5. Staffing Plan
6. Expense Summary
7. Capital & Debt
8. 5-Year Financial Projection
9. Prior-Year Actuals
10. Opening Balance Sheet
11. Facility & Key Performance Indicators
12. Cash Flow Analysis
13. Debt Service Coverage
14. Stress Testing
15. Lender Readiness
16. Financial Health Assessment
17. Key Risks
18. Decision History
19. Appendix: Key Assumptions

This packet is generated from the school's financial model and is intended for lender review.
All projections are based on assumptions entered by the school founder.

Lender Commentary

Riverside Christian Academy is a private school, based in FL. Riverside Christian Academy projects enrollment of 200 students in Year 1, growing to 400 by Year 5 against a stated capacity of 400 seats. Based on the canonical financial engine that powers this packet, the model reads as: Ready to share - keep polishing the narrative. This model demonstrates strong financial fundamentals: a clear path to net income, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

On the normalized base case (founder compensation marked to market), Year 1 debt service coverage is 6.37x. Cash remains positive across the full 5-year projection, with reserves reaching 30 months of operating expense by Year 5. The model crosses operating break-even in Year 1, and Year 1 requires 136 students to cover fixed costs and debt service (34% of stated capacity).

Year 1 revenue mix is 84% contracted, 11% projected enrollment-driven, 0% policy-dependent, and 5% donor-dependent. The canonical engine flagged no critical or high-severity risks; No major red flags detected, so continue refining assumptions as you gather real data.

Founder compensation has been normalized to market for underwriting. Across the modeled period the founder is drawing \$796,870 below a market salary for the role. On a planned-comp basis the Year 1 DSCR would read 7.38x; on the normalized basis it lands at 6.37x, which is the figure used throughout this packet. The lender-primary view in this packet underwrites the school at the market cost of running it, not the founder's voluntary discount.

Under the toughest stress in the lender battery (Enrollment -20%), minimum DSCR holds at 5.06x and minimum ending cash at \$563,518. Strong Year 5 net income Recommended next step before lender conversations: Address Cash Reserve Deficit from Prior Year.

Every figure in this commentary is sourced from the same canonical engine that powers the rest of this packet.

Executive Summary

Riverside Christian Academy projects \$5,259,877 in Year 5 revenue with a 44.7% net margin. The model tells a strong financial story with 12 of 13 key metrics in healthy range, a great foundation for your mission.

- [] Lender Readiness: Strong
- [] Biggest Strength: Strong Year 5 net income
- [] Biggest Risk: No major red flags detected, so continue refining assumptions as you gather real data.
- [] Cash Runway: 60+ months

Budget Narrative

Riverside Christian Academy projects \$5,259,877 in Year 5 revenue with a 44.7% net margin. The model tells a strong financial story with 12 of 13 key metrics in healthy range, a great foundation for your mission.

Assumptions Confidence

ACTUAL **Needs Support** 0% weighted evidence · 0 of 22 tagged
This does not mean your plan is weak. It means this part needs more clarity.

Each major assumption below is tagged by the founder with the source they leaned on. Higher-confidence sources (actuals, signed agreements, written quotes) are stronger evidence than research benchmarks or estimates.

0 of 22 assumptions tagged yet — the founder has not anchored any inputs to evidence. Posture defaults to "Needs Support" until at least some keys are tagged.

School Overview

Riverside Christian Academy is a Operating Private School organized as a 501(c)(3) Nonprofit with a Tuition-Based funding profile.

Supporting Assumptions

School Stage **Operating**
School Type **Private School**
Funding Profile **Tuition-Based**
Entity Type **501(c)(3) Nonprofit**
State **FL**
Opening Year **2023**

Enrollment Plan

Enrollment starts at 200 students in Year 1 and grows to 400 by Year 5 (100% growth).

Enrollment by Year

Year	Students
Year 1	200
Year 2	250
Year 3	300
Year 4	350
Year 5	400

Supporting Assumptions

Year 1 Enrollment **200**
Year 2 Enrollment **250**
Year 3 Enrollment **300**
Year 4 Enrollment **350**
Year 5 Enrollment **400**

Revenue Model

The revenue model is tuition-driven (95.3% of Year 1 revenue). Year 1 total revenue is projected at \$2.4M, growing to \$5.3M by Year 5.

- [] Tuition %: 95.3%
- [] Public Funding %: 0.0%
- [] Philanthropy %: 5.3%
- [] Year 1 Contracted Revenue %: 84.2%
- [] Hard Revenue Coverage (Y1): 1.41x

Revenue by Year

Year	Total Revenue
Year 1	\$2.4M
Year 2	\$3.0M
Year 3	\$3.8M
Year 4	\$4.5M
Year 5	\$5.3M

Revenue Quality (Contracted vs. Projected vs. Donor / Policy Dependent)

Bucket	Year 2	Year 3	Year 4	Year 5	Year 6
Contracted	\$2.0M (84.2%)	\$2.6M (85.5%)	\$3.3M (86.7%)	\$3.9M (87.5%)	\$4.7M (88.1%)
Policy-Dependent	\$0 (0.0%)	\$0 (0.0%)	\$0 (0.0%)	\$0 (0.0%)	\$0 (0.0%)
Projected	\$250K (10.6%)	\$313K (10.4%)	\$375K (10.0%)	\$438K (9.7%)	\$500K (9.5%)
Donor-Dependent	\$125K (5.3%)	\$125K (4.2%)	\$125K (3.3%)	\$125K (2.8%)	\$130K (2.5%)
Hard revenue coverage of fixed + debt	1.41×	1.60×	1.76×	1.90×	2.03×

Revenue Lines (Year 1)

Line Item	Year 1
Annual Tuition (K-8)	\$2.5M
Registration & Activity Fees	\$150K
Scholarships / Financial Aid	\$12
Annual Fund Donations	\$75K
Foundation Grants	\$50K
After-School Programs	\$100K

Supporting Assumptions

Tuition Collection Method **Autopay**
 Tuition Collection Rate **100.0%**
 Annual Tuition (K-8) **\$2.5M**
 Registration & Activity Fees **\$150K**
 Scholarships / Financial Aid **\$12**
 Annual Fund Donations **\$75K**
 Foundation Grants **\$50K**
 After-School Programs **\$100K**

Staffing Plan

Staffing costs are \$1.3M in Year 1, representing 53.5% of revenue. This is within the typical 50-60% range. Founder compensation is normalized to market rate for the lender / board view. The 5-year normalization adjustment increases fully-loaded staffing cost by +\$796,870 (salary + benefits + payroll tax). Year-1 DSCR moves from 7.38x to 6.37x and cash runway moves from 60.0 to 60.0 months when normalized. DSCR, runway,

and net income figures elsewhere in this packet reflect the normalized view; the founder dashboard reflects the as-planned view.

Suggested founder compensation steps up year over year as projected enrollment crosses NAIS / NACSA size bands (escalated by COLA from Y1). Source: NAIS Head of School Compensation Report, 2023-24. Day-school median total cash compensation by total enrollment.. Size-band transitions during the forecast: Year 3 (150–300 students to 300–500 students, suggested rate \$244,000). Each crossing bumps the lender-side market rate for the founder / head-of-school role.

[+] Staffing % of Revenue: 53.8%

Suggested Founder Compensation Benchmark by Year

Year	Projected Enrollment	Size Band	Suggested Market Rate
Year 1	200	150–300 students	\$180,000
Year 2	250	150–300 students	\$185,000
Year 3	300	300–500 students (new band)	\$244,000
Year 4	350	300–500 students	\$251,000
Year 5	400	300–500 students	\$259,000

Founder Compensation Normalization

Year	As Planned (Reported)	Market Rate (Normalized)	Loaded Adjustment
Year 1	\$95,000	\$180,000	\$110,203
Year 2	\$97,850	\$185,000	\$112,990
Year 3	\$100,786	\$244,000	\$185,677
Year 4	\$103,809	\$251,000	\$190,833
Year 5	\$106,923	\$259,000	\$197,168
Total adjustment (Y1–Y5)	—	—	\$796,870

As-Planned vs Normalized: Net Income & DSCR

Year	Net Income (Reported)	Net Income (Normalized)	DSCR (Reported)	DSCR (Normalized)
Year 1	\$697,688	\$587,485	7.38x	6.37x
Year 2	\$1,092,395	\$979,405	10.99x	9.96x
Year 3	\$1,550,770	\$1,365,093	15.18x	13.49x
Year 4	\$2,014,412	\$1,823,578	19.43x	17.68x
Year 5	\$2,520,104	\$2,322,936	24.05x	22.25x

As-Planned vs Normalized: Cash Runway

View	Cash Runway (months)	Reserve (months)
As Planned (Reported)	60.0	33.9
Lender View (Normalized)	60.0	28.5

Supporting Assumptions

Head of School **\$95,000, 1 FTE**
Assistant Principal **\$72,000, 1 FTE**
Lead Teachers (K-8) **\$48,000, 12 FTE**
Teaching Assistants **\$30,000, 6 FTE**
Office Manager **\$42,000, 1 FTE**
Counselor **\$55,000, 1 FTE**

Expense Summary

Total expenses grow from \$1.7M in Year 1 to \$2.8M by Year 5.

Expenses by Year

Year	Staffing	Operating	Debt Service	Total
Year 1	\$1.3M	\$279K	\$109K	\$1.7M
Year 2	\$1.5M	\$336K	\$109K	\$1.9M
Year 3	\$1.7M	\$397K	\$109K	\$2.2M
Year 4	\$1.9M	\$461K	\$109K	\$2.5M
Year 5	\$2.1M	\$528K	\$109K	\$2.8M

Capital & Debt

The model includes 2 debt instruments totaling \$1.4M.

Supporting Assumptions

Building Mortgage **\$1.2M at 5.5% for 25 years**
Renovation Loan **\$150K at 7.0% for 10 years**

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 change in net assets is projected at \$2.5M (47.3% margin).

• Breakeven enrollment

Breakeven enrollment is 135 students (48% above Year 1 enrollment).

• Prior-year comparison

Prior-year revenue was \$2.4M; Year 1 projections represent a -1.4% change.

• Accounting basis

All projections are prepared on an accrual basis; the school currently keeps books on a undetermined basis.

- [+] Revenue per Student (Year 1): \$11,759 (benchmark: Private avg: \$12,000–\$25,000)
- [+] Cost per Student (Year 1): \$8,877 (benchmark: Target: "d 85% of revenue per student)
- [+] Staffing Cost (% of Revenue): 53.8% (benchmark: Industry avg: 50–65% of revenue)
- [+] Operating Cost (% of Revenue): 16.5% (benchmark: Target: under 30% of revenue)
- [+] Net margin (Year 1): 24.5% (benchmark: Startup target: 0–5%; mature: 10%+)
- [+] Net margin (Year 5): 44.7% (benchmark: Target: 10–15%+)
- [+] 5-Year Revenue Growth: 123.7% (benchmark: Healthy schools: 30–80% over 5 years)
- [+] Capacity Utilization (Year 5): 100.0% (benchmark: Optimal: 80–95% utilization)

5-Year Change in Net Assets Projection

Year	Students	Revenue	Expenses	Change in Net Assets	Margin
Year 1	200	\$2.4M	\$1.7M	\$712K	30.1%
Year 2	250	\$3.0M	\$1.9M	\$1.1M	36.7%
Year 3	300	\$3.8M	\$2.2M	\$1.6M	41.4%
Year 4	350	\$4.5M	\$2.5M	\$2.0M	44.7%
Year 5	400	\$5.3M	\$2.8M	\$2.5M	47.3%

Prior-Year Actuals

Prior-year net income was \$200K on revenue of \$2.4M.

Prior-Year Revenue vs Year 1

Category	Prior Year (Actual)	Year 1 (Projected)	Variance
Tuition & Fees	\$0	\$2.4M	—
Public Funding	\$0	\$0	—
Philanthropy	\$0	\$125K	—
Other Revenue	\$0	\$100K	—
Total Revenue	\$2.4M	\$2.4M	-1.4%

Prior-Year Expenses vs Year 1

Category	Prior Year (Actual)	Year 1 (Projected)	Variance
Personnel & Benefits	\$0	\$1.3M	—
Facilities & Occupancy	\$0	\$36K	—
Instructional Supplies	\$0	\$128K	—
Admin & Operations	\$0	\$115K	—
Total Expenses	\$2.2M	\$1.7M	-24.8%

Net Income Comparison

	Prior Year (Actual)	Year 1 (Projected)
Net Income	\$200K	\$712K

Opening Balance Sheet

Net position at model start: \$-230K.

- [] Total Assets: \$970K
- [] Total Liabilities: \$1.2M
- [] Net Position: \$-230K

Assets

Item	Amount
Cash & Equivalents	\$120K
Accounts Receivable	\$0
Fixed Assets	\$850K
Other Assets	\$0
Total Assets	\$970K

Liabilities

Item	Amount
Accounts Payable	\$0
Current Debt Portion	\$0
Long-Term Debt	\$1.2M
Total Liabilities	\$1.2M

Facility & Key Performance Indicators

Breakeven enrollment is 135 students. Year 1 projects 200 students, providing a 48.1% cushion.

- [] Breakeven Enrollment: 135
- [] Facility Cost/Student: \$180

Key Performance Indicators

Metric	Value
Facility Cost / Student	\$180
Renewal Option	No
Breakeven Enrollment	135 students
Enrollment Cushion	+48.1%

Cash Flow Analysis

Cash stays positive throughout the entire 5-year projection. Opening balance: \$970K total assets, \$1.2M total liabilities, \$-230K net position. Lowest cash month across the 5-year forecast: Year 1 — Jul at \$115K.

- [] Cash Runway: 60+ months
- [] Lowest Cash Month: Year 1 — Jul (\$115K)

Cumulative Cash Position

Year	Cumulative Net Income	Reserve Months
Year 1	\$576K	3.9 months
Year 2	\$1.5M	9.1 months
Year 3	\$3.0M	15.2 months
Year 4	\$4.8M	22.1 months
Year 5	\$7.2M	29.6 months

Year 1 Monthly Cash Flow Summary

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	\$120K	\$133K	(\$138K)	\$-5K	\$115K
Aug	\$115K	\$243K	(\$138K)	\$105K	\$221K
Sep	\$221K	\$243K	(\$138K)	\$105K	\$326K
Oct	\$326K	\$243K	(\$138K)	\$105K	\$432K
Nov	\$432K	\$243K	(\$138K)	\$105K	\$537K
Dec	\$537K	\$243K	(\$138K)	\$105K	\$643K
Jan	\$643K	\$243K	(\$138K)	\$105K	\$748K
Feb	\$748K	\$243K	(\$138K)	\$105K	\$854K
Mar	\$854K	\$243K	(\$138K)	\$105K	\$959K
Apr	\$959K	\$243K	(\$138K)	\$105K	\$1.1M
May	\$1.1M	\$243K	(\$138K)	\$105K	\$1.2M
Jun	\$1.2M	\$8K	(\$138K)	\$-130K	\$1.0M

Year 2 Monthly Cash Flow Summary

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	\$1.0M	\$135K	(\$159K)	\$-24K	\$1.0M
Aug	\$1.0M	\$315K	(\$159K)	\$156K	\$1.2M
Sep	\$1.2M	\$315K	(\$159K)	\$156K	\$1.3M
Oct	\$1.3M	\$315K	(\$159K)	\$156K	\$1.5M
Nov	\$1.5M	\$315K	(\$159K)	\$156K	\$1.6M
Dec	\$1.6M	\$315K	(\$159K)	\$156K	\$1.8M
Jan	\$1.8M	\$315K	(\$159K)	\$156K	\$2.0M
Feb	\$2.0M	\$315K	(\$159K)	\$156K	\$2.1M
Mar	\$2.1M	\$315K	(\$159K)	\$156K	\$2.3M
Apr	\$2.3M	\$315K	(\$159K)	\$156K	\$2.4M
May	\$2.4M	\$315K	(\$159K)	\$156K	\$2.6M
Jun	\$2.6M	\$10K	(\$159K)	\$-149K	\$2.4M

**Year 3
Monthly Cash
Flow
Summary**

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	\$2.4M	\$138K	(\$184K)	\$-46K	\$2.4M
Aug	\$2.4M	\$392K	(\$184K)	\$208K	\$2.6M
Sep	\$2.6M	\$392K	(\$184K)	\$208K	\$2.8M
Oct	\$2.8M	\$392K	(\$184K)	\$208K	\$3.0M
Nov	\$3.0M	\$392K	(\$184K)	\$208K	\$3.2M
Dec	\$3.2M	\$392K	(\$184K)	\$208K	\$3.4M
Jan	\$3.4M	\$392K	(\$184K)	\$208K	\$3.6M
Feb	\$3.6M	\$392K	(\$184K)	\$208K	\$3.8M
Mar	\$3.8M	\$392K	(\$184K)	\$208K	\$4.0M
Apr	\$4.0M	\$392K	(\$184K)	\$208K	\$4.3M
May	\$4.3M	\$392K	(\$184K)	\$208K	\$4.5M
Jun	\$4.5M	\$13K	(\$184K)	\$-171K	\$4.3M

**Year 4
Monthly Cash
Flow
Summary**

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	\$4.3M	\$140K	(\$207K)	\$-68K	\$4.2M
Aug	\$4.2M	\$474K	(\$207K)	\$267K	\$4.5M
Sep	\$4.5M	\$474K	(\$207K)	\$267K	\$4.8M
Oct	\$4.8M	\$474K	(\$207K)	\$267K	\$5.0M
Nov	\$5.0M	\$474K	(\$207K)	\$267K	\$5.3M
Dec	\$5.3M	\$474K	(\$207K)	\$267K	\$5.6M
Jan	\$5.6M	\$474K	(\$207K)	\$267K	\$5.8M
Feb	\$5.8M	\$474K	(\$207K)	\$267K	\$6.1M
Mar	\$6.1M	\$474K	(\$207K)	\$267K	\$6.4M
Apr	\$6.4M	\$474K	(\$207K)	\$267K	\$6.6M
May	\$6.6M	\$474K	(\$207K)	\$267K	\$6.9M
Jun	\$6.9M	\$15K	(\$207K)	\$-193K	\$6.7M

**Year 5
Monthly Cash
Flow
Summary**

Month	Beginning	Inflows	Outflows	Net Cash Flow	Ending
Jul	\$6.7M	\$147K	(\$232K)	\$-85K	\$6.6M
Aug	\$6.6M	\$561K	(\$232K)	\$329K	\$6.9M
Sep	\$6.9M	\$561K	(\$232K)	\$329K	\$7.3M
Oct	\$7.3M	\$561K	(\$232K)	\$329K	\$7.6M
Nov	\$7.6M	\$561K	(\$232K)	\$329K	\$7.9M
Dec	\$7.9M	\$561K	(\$232K)	\$329K	\$8.3M
Jan	\$8.3M	\$561K	(\$232K)	\$329K	\$8.6M
Feb	\$8.6M	\$561K	(\$232K)	\$329K	\$8.9M
Mar	\$8.9M	\$561K	(\$232K)	\$329K	\$9.2M
Apr	\$9.2M	\$561K	(\$232K)	\$329K	\$9.6M
May	\$9.6M	\$561K	(\$232K)	\$329K	\$9.9M
Jun	\$9.9M	\$17K	(\$232K)	\$-215K	\$9.7M

**Lowest Cash
Month by Year**

Year	Month	Ending Cash
Year 1	Jul	\$115K
Year 2	Jul	\$1.0M
Year 3	Jul	\$2.4M
Year 4	Jul	\$4.2M
Year 5	Jul	\$6.6M

Debt Service Coverage

DSCR is above 1.25x, and your operating income comfortably covers debt payments. Current DSCR is 6.27x.

Benchmark: Healthy minimum: 1.15x; target: 1.25x.

[+] Debt Service Coverage Ratio (Year 1): 6.27x (benchmark: Healthy minimum: 1.15x; target: 1.25x)

[+] Year 1 Reserve Months: 3.9 months (benchmark: Target: 3+ months)

[+] Year 2 Reserve Months: 9.1 months (benchmark: Target: 3+ months)

[+] Year 3 Reserve Months: 15.2 months (benchmark: Target: 3+ months)

[+] Year 4 Reserve Months: 22.1 months (benchmark: Target: 3+ months)

[+] Year 5 Reserve Months: 29.6 months (benchmark: Target: 3+ months)

DSCR Summary

Current DSCR: **6.27x**

Benchmark: **Healthy minimum: 1.15x; target: 1.25x**

Trend: **DSCR is above 1.25x, and your operating income comfortably covers debt payments.**

Operating Reserve & Ending Cash

Year	Ending Cash	Reserve Months	Status
Year 1 (trough)	\$696K	3.9 months	Adequate
Year 2	\$1.7M	9.1 months	Adequate
Year 3	\$3.1M	15.2 months	Adequate
Year 4	\$4.9M	22.1 months	Adequate
Year 5	\$7.3M	29.6 months	Adequate

Tightest cash year: Year 1 ends at \$696K.

Year-end unrestricted cash: \$7.3M

vs accrual: \$7.3M (no restricted gifts). Unrestricted is the headline DSCR + runway are computed off; restricted gifts can't legally fund operations or debt service.

Stress Testing

All 6 stress scenarios maintain positive Year 5 net income, indicating financial resilience.

Stress Test Results

Scenario	Y1 Net Income	Y5 Net Income	Break-Even	Reserve (mo)	Y1 DSCR	Runway (mo)
Enrollment 20% Below Plan	\$444K	\$1.8M	Year 1	27.2	5.06x	60+
Loss of Philanthropy	\$573K	\$2.3M	Year 1	30.8	6.24x	60+
Hard revenue only	\$573K	\$2.3M	Year 1	30.8	6.24x	60+
Occupancy +15%, Personnel +5%	\$617K	\$2.3M	Year 1	29.7	6.64x	60+
Revenue Delayed 3 Months	\$161K	\$1.2M	Year 1	14.7	2.47x	60+
Interest Rate +2%	\$678K	\$2.5M	Year 1	32.8	6.25x	60+

Lender Readiness

Lender Readiness: Strong. This model demonstrates strong financial fundamentals: a clear path to net income, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

[+] Readiness Level: Strong

Financial Health Assessment

Across 8 health dimensions: 8 healthy, 0 on watch, 0 at risk.

- [+] viability: Healthy
- [+] liquidity: Healthy
- [+] staffing burden: Healthy
- [+] facility burden: Healthy
- [+] debt affordability: Healthy
- [+] revenue concentration: Healthy
- [+] days cash: Healthy
- [+] reserve strength: Healthy

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches net income early and sustains strong margins through Year 5.
Liquidity	Healthy	Cash stays positive throughout the projection and reserves exceed 3 months of expenses.
Staffing Burden	Healthy	Staffing at 54% of revenue leaves room for facilities, programs, and reserves.
Facility Burden	Healthy	Facility costs at 2% of revenue are well-managed and leave budget for programs.
Debt Affordability	Healthy	DSCR of 6.27x provides comfortable coverage of debt payments with room to spare.
Revenue Concentration	Healthy	Revenue is anchored to enrollment-driven income — the strongest foundation for a school model. A focused revenue stream is a strength when backed by dependable demand.
Days Cash	Healthy	143 days of cash on hand exceeds the 90-day benchmark, providing a strong liquidity cushion.
Reserve Strength	Healthy	29.6 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Risks

The model has 1 identified risk that should be addressed.

Decision History

No decisions have been tracked with an outcome yet. As the team marks saved scenarios as Pursued, Declined, or On hold, those outcomes (and any retrospective notes) will appear here so reviewers can see what actually happened versus what was modeled.

Once decisions are saved with a Pursued / Declined / On hold outcome inside the planner, they will be summarized here.

Appendix: Key Assumptions

Complete list of 25 assumptions used in this financial model, with each headline metric tied to its driving assumptions.

Supporting Assumptions

— Assumption sources by headline metric —
(maps each key output to the assumptions and wizard step that drive it)

Year 1 revenue **Year 1 enrollment: 200; Tuition per student: \$12,500; Tuition collection rate: Not entered; Tuition escalation: 4.0%**

Driven by inputs in: Enrollment, Revenue.

Year 1 total expenses **Year 1 staffing cost: \$1,265,734; Year 1 facility cost: \$36,000; Year 1 operating expenses: \$243,000; Year 1 debt service: \$109,328; General cost inflation: 3.0%**

Driven by inputs in: Staffing, Expenses, Capital & Financing.

Year 1 net income **Year 1 enrollment: 200; Tuition per student: \$12,500; Year 1 staffing cost: \$1,265,734; Year 1 facility cost: \$36,000; Year 1 operating expenses: \$243,000**

Driven by inputs in: Enrollment, Revenue, Staffing, Expenses.

Year 1 operating surplus **Year 1 enrollment: 200; Tuition per student: \$12,500; Year 1 staffing cost: \$1,265,734; Year 1 facility cost: \$36,000; Year 1 operating expenses: \$243,000**

Driven by inputs in: Enrollment, Revenue, Staffing, Expenses.

Debt service coverage (DSCR) **Loan principal: \$1,200,000; Loan interest rate: 5.5%; Loan term: 25 yr; Year 1 debt service: \$109,328; Year 1 staffing cost: \$1,265,734**

Driven by inputs in: Capital & Financing, Staffing.

Cash reserve (months) **Starting cash: \$120,000; Year 1 operating expenses: \$243,000; Year 1 staffing cost: \$1,265,734; Tuition collection rate: Not entered**

Driven by inputs in: Assumptions & Sensitivity, Expenses, Staffing, Revenue.

Year 1 ending cash **Starting cash: \$120,000; Year 1 enrollment: 200; Tuition per student: \$12,500; Year 1 staffing cost: \$1,265,734; Year 1 debt service: \$109,328**

Driven by inputs in: Assumptions & Sensitivity, Enrollment, Revenue, Staffing, Capital & Financing.

Year 5 ending cash **Starting cash: \$120,000;**
Year 5 enrollment: 400; Retention rate: 92.0%;
Tuition escalation: 4.0%; Annual salary
increase: 3.0%

Driven by inputs in: Assumptions & Sensitivity, Enrollment, Revenue, Staffing.

Break-even year **Year 1 enrollment: 200; Year 5**
enrollment: 400; Tuition per student: \$12,500;
Year 1 staffing cost: \$1,265,734; Year 1 facility
cost: \$36,000

Driven by inputs in: Enrollment, Revenue, Staffing, Expenses.

... and 25 more (see Appendix)

Break-Even & Downside Sensitivity

Break-even student counts assume current revenue and cost mix. Utilization compares break-even to the stated max capacity of 400 students.

Per-Year Break-Even

Year 1 (planned 200): **136 students · 34% of capacity**

Year 2 (planned 250): **151 students · 38% of capacity**

Year 3 (planned 300): **166 students · 42% of capacity**

Year 4 (planned 350): **180 students · 45% of capacity**

Year 5 (planned 400): **194 students · 49% of capacity**

Downside Enrollment Band

If 10% fewer students enroll

Year 1 (180 students): **DSCR 6.36x · Ending cash \$705,921**

Year 2 (225 students): **DSCR 9.45x · Ending cash \$1,629,994**

Year 3 (270 students): **DSCR 13.33x · Ending cash \$2,977,786**

Year 4 (315 students): **DSCR 16.98x · Ending cash \$4,724,632**

Year 5 (360 students): **DSCR 20.97x · Ending cash \$6,907,830**

If 20% fewer students enroll

Year 1 (160 students): **DSCR 5.06x · Ending cash \$563,518**

Year 2 (200 students): **DSCR 7.62x · Ending cash \$1,287,714**

Year 3 (240 students): **DSCR 11.17x · Ending cash \$2,400,025**

Year 4 (280 students): **DSCR 14.22x · Ending cash \$3,845,830**

Year 5 (320 students): **DSCR 17.89x · Ending cash \$5,692,122**

Enrollment × Tuition Sensitivity (Yr 1 DSCR / Yr 5 ending cash)

Each cell re-runs the canonical engine with the row's enrollment delta and the column's tuition delta applied together. Cells shaded green clear the 1.25x DSCR benchmark; amber sit between 1.15x–1.25x; red are below 1.15x.

Enrollment !" / Tuition !'	-5% tuition	0% tuition	+5% tuition	+10% tuition
-20% enroll	6.31x \$7,049,494	7.38x \$7,995,369	8.46x \$8,941,245	9.53x \$9,887,120
-15% enroll	6.31x \$7,049,494	7.38x \$7,995,369	8.46x \$8,941,245	9.53x \$9,887,120
-10% enroll	6.31x \$7,049,494	7.38x \$7,995,369	8.46x \$8,941,245	9.53x \$9,887,120
-5% enroll	6.31x \$7,049,494	7.38x \$7,995,369	8.46x \$8,941,245	9.53x \$9,887,120
0% enroll	6.31x \$7,049,494	7.38x \$7,995,369	8.46x \$8,941,245	9.53x \$9,887,120
+5% enroll	6.31x \$7,049,494	7.38x \$7,995,369	8.46x \$8,941,245	9.53x \$9,887,120
+10% enroll	6.31x \$7,049,494	7.38x \$7,995,369	8.46x \$8,941,245	9.53x \$9,887,120

Standard Lender Stress Tests

Five fixed downside scenarios re-run against the canonical model. Each row shows the worst-year DSCR, ending-cash trough, and Year-1 net-income delta vs base. Identical figures appear on the founder dashboard and in the lender pro-forma workbook.

Base case: **Min DSCR 7.38x** · **Min ending cash**
\$817,688 · **Runway 60.0 mo**

Enrollment -10%

All five enrollment years scaled down by 10% — the standard lender enrollment-miss sensitivity.

Min DSCR: 6.36x · **Min ending cash: \$705,921** · **Runway: 60.0 mo** · **Break-even: Year 1**
Year-1 net income vs base: -\$111,767

Enrollment -20%

All five enrollment years scaled down by 20% — the stretch downside lenders use to confirm the school can survive a soft-launch.

Min DSCR: 5.06x · **Min ending cash: \$563,518** · **Runway: 60.0 mo** · **Break-even: Year 1**
Year-1 net income vs base: -\$254,170

ESA / Public Funding Delayed 3 Months

Year-1 ESA, school-choice, and public-funding receipts reduced by 25% ("H 3 months delayed") to simulate a slow first disbursement.

Min DSCR: 7.38x · **Min ending cash: \$817,688** · **Runway: 60.0 mo** · **Break-even: Year 1**
Year-1 net income vs base: +\$0

Rent Shock +25%

Occupancy & facility expense rows escalated by 25% — covers a lease renewal, market-rate reset, or unbudgeted CAM/utilities surprise.

Min DSCR: 7.30x · **Min ending cash: \$808,688** · **Runway: 60.0 mo** · **Break-even: Year 1**
Year-1 net income vs base: -\$9,000

Founder Comp Normalized to Market

Founder compensation re-cast at the market-rate benchmark (with benefits + payroll tax). The lender / board view of true operating cost.

Min DSCR: 6.37x · **Min ending cash: \$817,688** · **Runway: 60.0 mo** · **Break-even: Year 1**
Year-1 net income vs base: -\$110,203

Founder Compensation

Per-year founder pay shown two ways: as planned (what the founder draws) and at market rate (what a comparable hire would cost). The lender adjustment is the gap underwriters apply to staffing cost and DSCR.

Line	Y1	Y2	Y3	Y4	Y5	
As planned (reported)	\$95,000	\$97,850	\$100,786	\$103,809	\$106,923	
Fully-loaded (incl. benefits + payroll tax)	\$123,168	\$126,863	\$130,669	\$134,588	\$138,626	
Market rate (normalized)	\$180,000	\$185,000	\$244,000	\$251,000	\$259,000	\$
Fully-loaded (incl. benefits + payroll tax)	\$233,370	\$239,853	\$316,346	\$325,422	\$335,794	\$
Lender adjustment (market - planned)	\$110,203	\$112,990	\$185,677	\$190,833	\$197,168	

Note: Founder is paying themselves below market rate ("sweat equity"). Lenders and boards underwrite to the market-rate line; the adjustment shows the gap.